

A FOUNDATION FOR BUILDING WEALTH

Today we are much wiser about the lifestyles of the affluent. When we interview millionaires these days, we offer a spread that is more congruent with their way of life. We provide them with coffee, soft drinks, beer, scotch (during evening sessions), and club sandwiches. Of course, we also pay them between \$100 and \$250 apiece. Occasionally, we offer additional incentives. Many respondents have picked a large and expensive teddy bear as one of their nonmonetary rewards; they tell us they have a grandchild who would be thrilled to receive a big bear.

It is unfortunate that some people judge others by their choice in foods, beverages, suits, watches, motor vehicles, and such. To them, superior people have excellent tastes in consumer goods. But it is easier to purchase products that denote superiority than to be actually superior in economic achievement. Allocating time and money in the pursuit of looking superior often has a predictable outcome: inferior economic achievement.

What are three words that profile the affluent?

FRUGAL FRUGAL FRUGAL

Webster's defines *frugal* as "behavior characterized by or reflecting economy in the use of resources." The opposite of frugal is wasteful. We define wasteful as a lifestyle marked by lavish spending and hyperconsumption.

Being frugal is the cornerstone of wealth-building. Yet far too often the big spenders are promoted and sensationalized by the popular press. We are constantly barraged with media hype about so-called millionaire athletes, for example. Yes, some of the members of this small population are millionaires. But if a highly skilled ball player makes \$5 million a year, having \$1 million in net worth is no big deal. According to our wealth equation, a \$5 million earner who is thirty years of age should be worth \$15 million or more. How many highly paid ball players have a level of wealth in this range? We believe only a tiny fraction. Why?